

Reseller Agreement

PACE Technologies Corporation — Template

Effective [EFFECTIVE DATE] · Template Version 2.0

This Reseller Agreement ("Agreement") is made and entered into as of [EFFECTIVE DATE], by and between PACE Technologies Corporation, an Arizona corporation having its principal place of business at 3601 E. 34th Street, Tucson, Arizona 85713, USA ("PACE"), and [RESELLER LEGAL NAME], a [JURISDICTION / ENTITY TYPE], having its principal place of business at [RESELLER ADDRESS] ("Reseller").

WHEREAS, PACE is engaged in the manufacture and sale of metallographic equipment, consumables, and related products and services;

WHEREAS, Reseller desires to be appointed as a non-exclusive authorized reseller of such products in the territory identified below; and

WHEREAS, PACE is willing to appoint Reseller on the terms set forth in this Agreement.

NOW, THEREFORE, in consideration of the mutual covenants and agreements set forth below and other good and valuable consideration, the receipt and sufficiency of which are acknowledged, the parties agree as follows:

Territory: [NAMED TERRITORY — e.g., "the country of [Country]" or "the European Economic Area excluding [excluded countries]"]

01 DEFINITIONS

SUMMARY Key terms. The main ones: 'Products' (PACE equipment and consumables) and 'Territory' (the area named on the cover page).

Capitalized terms not defined here have the meanings given on the cover page or in PACE's Standard Terms and Conditions of Sale ("PACE Standard Terms").

- **"Agreement"** means this Reseller Agreement, including any Exhibits and executed amendments.
- **"Effective Date"** means the date stated on the cover page.
- **"End Customer"** means the ultimate purchaser of a Product, other than Reseller.
- **"List Price"** means PACE's then-current published list price in U.S. dollars.
- **"Marks"** means the PACE trademarks, service marks, logos, and trade names made available to Reseller.
- **"PACE"** means PACE Technologies Corporation, headquartered at 3601 E. 34th Street, Tucson, Arizona 85713, USA.

- **"Products"** means the metallographic equipment, consumables, and related items offered by PACE for resale.
- **"Reseller"** means the entity named on the cover page as the appointed reseller.
- **"Territory"** means the geographic area identified on the cover page (which may be worldwide, regional, or country-specific).
- **"Trade Laws"** has the meaning given in Section 12.

02 APPOINTMENT AS RESELLER

***SUMMARY** Reseller is a non-exclusive authorized reseller. No exclusivity, no territory protection, no obligation by PACE to support Reseller against other channels.*

PACE appoints Reseller, and Reseller accepts appointment, as a **non-exclusive** authorized reseller of the Products in the Territory during the Term. Reseller may market and resell Products to End Customers and may use the Marks subject to Section 7.

The appointment is **non-exclusive**. PACE retains the right to: (i) appoint additional resellers, distributors, or other channel partners in or outside the Territory; (ii) sell Products directly to End Customers anywhere, including through PACE's website or sales personnel; (iii) modify, add to, or discontinue any Product; and (iv) accept or reject any order in its sole discretion.

03 PRODUCTS AND PRICING

***SUMMARY** Reseller gets 10% off List Price. All prices are USD. PACE can change prices with 60 days' notice.*

Discount. Reseller is entitled to a discount of **ten percent (10%) off List Price** on qualifying Products. Certain Products may be ineligible for the discount or eligible for a different discount, as indicated by PACE in writing.

Currency. All prices are in **U.S. dollars (USD)**.

Price Changes. PACE may change List Prices on at least **sixty (60) days' written notice**. Orders accepted by PACE before the effective date of an increase will be honored at the prior price.

Resale Pricing. Reseller is free to set its own resale prices to End Customers, subject to PACE's right to publish suggested or minimum advertised prices ("MAP") and to Section 8 (Channel Conduct). Reseller shall not represent any resale price as having been set or required by PACE.

Taxes. All prices exclude sales, use, value-added, excise, customs, withholding, and similar taxes, which are Reseller's responsibility unless Reseller furnishes a valid exemption certificate.

04 ANNUAL PURCHASE COMMITMENT

***SUMMARY** Reseller targets at least \$10,000 USD per year in net purchases. Falling short gives PACE the option to terminate or convert tier.*

Reseller targets net invoiced purchases from PACE of at least **ten thousand U.S. dollars (\$10,000)** in each calendar year of the Term (the "Annual Minimum"). The Annual Minimum is prorated for partial years.

If Reseller fails to meet the Annual Minimum in any calendar year, PACE may, at its sole option: (i) continue this Agreement on its current terms; (ii) reduce or modify Reseller's discount for the following calendar year; (iii) remove specific Products from Reseller's eligibility; or (iv) terminate this Agreement on thirty (30) days' written notice.

05 ORDERS, PAYMENT, AND DELIVERY

SUMMARY Reseller places POs subject to PACE's Standard Terms. Year 1 is pre-pay, Year 2+ is Net-30 subject to credit approval.

Standard Terms Apply. Every order placed by Reseller is governed by PACE's then-current Standard Terms and Conditions of Sale, in addition to this Agreement. In the event of a conflict, this Agreement controls as to matters expressly addressed here; the Standard Terms control as to all other matters. PACE rejects any conflicting terms in Reseller's purchase orders.

Payment. For the first twelve (12) months of the Term, Reseller shall make payment in advance ("PIA") for all orders. Thereafter, subject to PACE's credit approval, Net-30 terms may be extended. Late payments accrue interest at the lesser of 1.5% per month or the maximum rate permitted by law.

Delivery. Unless otherwise agreed, delivery is **FCA PACE's facility, Tucson, Arizona** (Incoterms 2020). Title and risk of loss pass to Reseller on delivery to the first carrier. Reseller is responsible for freight, insurance, and import/export charges thereafter.

06 MARKETING

SUMMARY Reseller markets the Products through commercially reasonable efforts.

Reseller shall use commercially reasonable efforts to promote and sell the Products in the Territory, including by maintaining a professional online or physical presence that identifies Reseller as an authorized PACE reseller and presents the Products accurately.

Reseller may participate in PACE-sponsored marketing programs as they may be offered from time to time. Co-marketing terms, if any, will be set out in a separate writing.

07 TRADEMARK LICENSE

SUMMARY Reseller can use PACE marks to promote PACE Products. The license is non-exclusive and tied to the Agreement.

PACE grants Reseller a non-exclusive, non-transferable, non-sublicensable, royalty-free license, during the Term and within the Territory, to use the Marks solely to advertise and resell the Products as an authorized PACE reseller.

Reseller shall use the Marks only in accordance with PACE's brand guidelines (provided on request). Reseller shall not: (i) modify the Marks; (ii) combine them with other marks in a manner suggesting a co-brand without PACE's prior written consent; (iii) register or attempt to register any of the Marks or confusingly similar marks; or (iv) challenge the validity of any PACE intellectual property.

The Marks remain the sole property of PACE. The license terminates automatically on expiration or termination of this Agreement, and Reseller shall cease use of the Marks within thirty (30) days.

08 CHANNEL CONDUCT AND ONLINE SALES

***SUMMARY** Reseller may sell via its own branded website. No third-party marketplaces (Amazon, eBay, AliExpress) without written consent.*

Reseller may sell Products through its own staffed offices and its own e-commerce website that prominently identifies Reseller as an authorized PACE reseller.

Online Marketplaces. Reseller shall not list or sell Products on any third-party online marketplace — including Amazon, eBay, AliExpress, Alibaba, Mercado Libre, Taobao, or any equivalent — without PACE's prior written consent. PACE may grant or withhold consent in its sole discretion. Breach is grounds for immediate termination under Section 19.

No Diversion. Reseller shall not knowingly export, re-export, or transship Products outside the Territory, nor sell to any customer Reseller knows or reasonably should know will do so, except as permitted under applicable competition law.

No Modification. Reseller shall not repackage, relabel, or modify Products in a manner that obscures PACE's brand or removes hazard or safety information.

09 WARRANTY AND SERVICE ROUTING

***SUMMARY** Reseller does not perform warranty service. Reseller refers warranty issues to PACE. Reseller may perform fee-based service if separately authorized.*

No Warranty Service Obligation. Unlike a distributor, Reseller is not required to perform warranty service. Reseller shall refer all warranty claims, service requests, and technical-support inquiries from End Customers to PACE in a timely manner.

Optional Service Authorization. Reseller may apply to be authorized to perform fee-based or warranty service for Products, subject to PACE's training and certification requirements. Any such authorization will be set out in a separate writing and may include reimbursement terms.

End-Customer Terms. Reseller shall sell Products to End Customers only on terms substantially equivalent to PACE's Standard Terms and Conditions of Sale, including the limited warranty, limitation of liability, indemnification, dispute-resolution, and hazardous-materials provisions. Reseller shall not extend any warranty broader than PACE's, nor make any representation about Products beyond PACE's published materials. Reseller shall make PACE's Safety Data Sheets and product documentation available to End Customers where applicable.

10 INSURANCE

***SUMMARY** Reseller maintains commercially reasonable insurance customary for its size, industry, and jurisdiction. PACE may request a Certificate of Insurance.*

Reseller shall maintain at its own expense throughout the Term commercially reasonable insurance customary for businesses of its size and industry in its jurisdiction, including:

- Commercial General Liability coverage appropriate to Reseller's activities under this Agreement;
- Workers' Compensation as required by applicable law; and
- Commercial Automobile Liability covering owned, hired, and non-owned vehicles, if Reseller's personnel transport Products or visit End-Customer sites.

Upon PACE's reasonable request, Reseller shall provide a Certificate of Insurance.

11 CONFIDENTIALITY

***SUMMARY** Both parties protect each other's non-public information for the Term and 3 years after.*

"Confidential Information" means non-public information disclosed by one party to the other in connection with this Agreement that is identified as confidential or that a reasonable person would understand to be confidential, including pricing, customer lists, business plans, technical information, software, and financial information.

The Receiving Party shall: (i) use Confidential Information solely for purposes of this Agreement; (ii) protect it with at least the same care it uses for its own information of similar sensitivity and in no event less than reasonable care; (iii) limit disclosure to its personnel with a need to know who are bound by confidentiality; and (iv) not disclose it to third parties without consent.

Exceptions apply for information that is publicly known, rightfully known prior to receipt, independently developed, or required to be disclosed by law.

The obligations apply during the Term and for **three (3) years** after termination. Trade secrets remain protected as long as they remain trade secrets. On termination, each party shall return or destroy the other's Confidential Information.

12 EXPORT CONTROLS AND TRADE COMPLIANCE

SUMMARY *Reseller complies with US export law, sanctions, anti-boycott rules, and end-use restrictions. Restricted-party screening is required.*

The Products and related technology may be subject to the U.S. Export Administration Regulations (EAR), the International Traffic in Arms Regulations (ITAR) to the extent applicable, OFAC sanctions, and the import/export laws of other jurisdictions ("Trade Laws"). Reseller represents, warrants, and covenants that:

- It is not, and no owner, director, officer, or employee is, a restricted or sanctioned party under any Trade Laws;
- It will not, directly or indirectly, export, re-export, transfer, or divert any Product to any country, region, entity, or individual subject to U.S. embargo or comprehensive sanctions (including, as of the Effective Date, Cuba, Iran, North Korea, Syria, and the Crimea, Donetsk, and Luhansk regions of Ukraine);
- It will conduct restricted-party screening of each prospective End Customer against current government lists prior to delivery and maintain records of such screening for at least five (5) years;
- It will not use, sell, or permit use of the Products for nuclear weapons, chemical or biological weapons, missile, or unauthorized military end uses;
- It will comply with applicable anti-boycott laws and promptly report boycott requests to PACE; and
- It will obtain any required export, re-export, or import authorizations at its own cost.

Reseller shall indemnify, defend, and hold harmless PACE from and against any claims, fines, or losses arising from Reseller's breach of Trade Laws. PACE may refuse any order it believes in good faith may violate Trade Laws, without liability.

13 ANTI-BRIBERY AND ANTI-CORRUPTION

SUMMARY *Reseller complies with the FCPA, UK Bribery Act, and local laws. No improper payments.*

Reseller shall comply with the U.S. Foreign Corrupt Practices Act, the U.K. Bribery Act 2010, and all other applicable anti-bribery and anti-corruption laws. Reseller shall not, directly or indirectly, offer, promise, or give anything of value to any government official or any other person to obtain or retain business or secure an improper advantage.

Reseller shall promptly notify PACE of any actual or suspected breach. Material breach is grounds for immediate termination under Section 19.

14 DATA PROTECTION

SUMMARY *Each party complies with applicable privacy laws when handling personal data of End Customers and their staff.*

Each party shall comply with applicable data-protection laws when handling personal data of End Customers and their personnel, including the EU GDPR, the UK GDPR, the California Consumer Privacy Act (as amended), and other U.S. state and foreign privacy laws. PACE's Privacy Policy governs PACE's data practices. The parties shall execute a data-processing addendum upon either party's request where required by applicable law.

15 INTELLECTUAL PROPERTY

SUMMARY *PACE owns all IP in the Products and Marks. Reseller gets no rights other than what's expressly licensed.*

All intellectual property rights in the Products, Marks, and PACE's technical documentation remain PACE's sole and exclusive property. Reseller acquires no rights except those expressly granted in this Agreement.

Reseller shall not: (i) reverse engineer, decompile, or disassemble Products or any embedded software, except to the extent expressly permitted by applicable law notwithstanding this restriction; (ii) copy or create derivative works; (iii) remove proprietary notices; (iv) register or attempt to register any of the Marks or confusingly similar marks; or (v) challenge the validity of any PACE intellectual property. Any feedback Reseller provides to PACE is non-confidential and PACE may freely use it.

16 REPRESENTATIONS AND WARRANTIES

SUMMARY *Standard reps from each party — authority, organization, no sanctioned-party status. All implied warranties from PACE are disclaimed except as expressly stated.*

Each party represents and warrants that (i) it is duly organized and in good standing; (ii) it has authority to enter and perform this Agreement; (iii) performance does not breach any other agreement or law; (iv) it is not a restricted or sanctioned party; and (v) it will perform in compliance with applicable laws. Reseller additionally represents that it will not make any representation or warranty about the Products beyond what PACE has authorized in writing.

EXCEPT AS EXPRESSLY STATED HERE OR IN PACE'S STANDARD TERMS, PACE MAKES NO REPRESENTATIONS OR WARRANTIES, EXPRESS OR IMPLIED, INCLUDING IMPLIED WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, AND NON-INFRINGEMENT.

17 INDEMNIFICATION

SUMMARY *PACE defends Reseller against IP infringement and product-defect claims relating to the Products. Reseller defends PACE against claims arising from Reseller's own conduct.*

By PACE. Subject to the limits in Section 18, PACE shall defend, indemnify, and hold harmless Reseller and its officers, directors, employees, and agents from and against third-party claims, and pay damages or settlement amounts finally awarded by a court of competent jurisdiction or agreed in a PACE-

approved settlement, to the extent such claims arise out of: (i) an allegation that a Product, as supplied by PACE and used in accordance with PACE's documentation, infringes a third party's patent, copyright, trademark, or trade-secret rights; or (ii) death, bodily injury, or tangible property damage caused by a defect in a Product that existed when the Product left PACE's facility and was not caused or contributed to by Reseller's misuse, modification, or failure to follow PACE's documentation.

PACE's indemnification is conditioned on Reseller giving prompt notice, providing PACE sole control of defense and settlement, and not making admissions or settling without PACE's consent. For IP claims, PACE may at its option procure rights, modify, replace, or refund the affected Product.

By Reseller. Reseller shall defend, indemnify, and hold harmless PACE and its officers, directors, employees, and agents from any third-party claims, damages, fines, losses, and reasonable costs (including attorney fees) arising from: (a) Reseller's negligence or willful misconduct; (b) Reseller's marketing or representations to End Customers beyond those authorized by PACE; (c) Reseller's breach of Trade Laws (Section 12), Anti-Corruption Laws (Section 13), or data-protection laws (Section 14); (d) Reseller's breach of this Agreement; or (e) Reseller's modification, alteration, or repair of Products outside its express authorization.

The mutual indemnification obligations are the sole and exclusive remedies for the matters addressed and survive termination.

18 LIMITATION OF LIABILITY

***SUMMARY** Each side's non-indemnity, non-confidentiality, non-payment liability is capped at the greater of fees paid in 12 months or \$10,000.*

EXCEPT FOR (i) INDEMNIFICATION OBLIGATIONS UNDER SECTION 17; (ii) BREACHES OF CONFIDENTIALITY UNDER SECTION 11; (iii) BREACHES OF TRADE LAWS (SECTION 12), ANTI-CORRUPTION LAWS (SECTION 13), OR INTELLECTUAL PROPERTY OBLIGATIONS (SECTION 15); (iv) RESELLER'S PAYMENT OBLIGATIONS; OR (v) DAMAGES FROM GROSS NEGLIGENCE OR WILLFUL MISCONDUCT, EACH PARTY'S TOTAL AGGREGATE LIABILITY UNDER THIS AGREEMENT, REGARDLESS OF THEORY, SHALL NOT EXCEED THE GREATER OF (A) AMOUNTS PAID OR PAYABLE BY RESELLER TO PACE UNDER THIS AGREEMENT IN THE TWELVE (12) MONTHS PRECEDING THE EVENT, OR (B) U.S. \$10,000.

IN NO EVENT SHALL EITHER PARTY BE LIABLE FOR LOST PROFITS, LOST REVENUE, LOSS OF USE, BUSINESS INTERRUPTION, LOSS OF DATA, COST OF SUBSTITUTE GOODS OR SERVICES, OR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL, EXEMPLARY, OR PUNITIVE DAMAGES, EVEN IF ADVISED OF THE POSSIBILITY.

These limitations are an essential element of the bargain and apply notwithstanding any failure of essential purpose of a limited remedy.

19 TERM AND TERMINATION

SUMMARY 1-year auto-renewing. 60 days' notice for convenience; 30 days for cause (with cure). Immediate termination for serious breaches.

Term. This Agreement begins on the Effective Date and continues for an initial term of one (1) year, renewing automatically for successive one-year terms unless either party gives written non-renewal notice at least sixty (60) days before the end of the then-current term.

Termination for Convenience. Either party may terminate without cause on sixty (60) days' prior written notice.

Termination for Cause. Either party may terminate for cause on thirty (30) days' written notice if the other party materially breaches and fails to cure within the notice period.

Immediate Termination. Either party may terminate immediately by written notice if the other (i) becomes insolvent or has an insolvency proceeding commenced that is not dismissed within sixty (60) days; (ii) materially breaches Section 12 (Export Controls), 13 (Anti-Bribery), 11 (Confidentiality), or 15 (Intellectual Property); or (iii) engages in conduct that materially harms the other party's reputation or business.

20 EFFECT OF TERMINATION

SUMMARY Sales rights and trademark license end. Reseller has 90 days to sell through existing inventory. Surviving sections continue.

Upon expiration or termination:

- **Sales rights cease.** Reseller's appointment, the trademark license, and the right to identify as an authorized PACE reseller terminate. Reseller shall remove all references to PACE and the Marks from its website and materials within thirty (30) days.
- **Open orders.** PACE may, at its option, fulfill or cancel orders accepted but not yet shipped.
- **Inventory.** For ninety (90) days following termination (the "Sell-Through Period"), Reseller may continue to sell its existing inventory of Products in compliance with all surviving obligations. PACE may, at its option, repurchase Reseller's then-current inventory of unused, unopened, current-version Products at Reseller's original net invoice cost less an inventory-condition adjustment, freight collect.
- **Confidential Information.** Each party shall return or destroy the other's Confidential Information.
- **Payment.** Payment obligations accrued prior to termination remain due.

Survival. Sections 1 (Definitions), 11 (Confidentiality), 12 (Export Controls), 13 (Anti-Bribery), 14 (Data Protection), 15 (Intellectual Property), 16 (Representations, as to accrued claims), 17 (Indemnification), 18 (Limitation of Liability), 20 (Effect of Termination), 21 (Dispute Resolution), 22 (Governing Law), and 23 (General Provisions) survive.

21 DISPUTE RESOLUTION

SUMMARY *Negotiation first (30 days); then binding arbitration in Tucson under AAA Commercial Rules. Class actions waived. Either side may go to court for emergency IP, confidentiality, or trade-compliance relief.*

(a) Negotiation. The parties shall first attempt to resolve any dispute through good-faith negotiation between senior representatives for at least thirty (30) days before initiating arbitration.

(b) Arbitration. Any unresolved dispute shall be resolved by final and binding arbitration administered by the American Arbitration Association under its **Commercial Arbitration Rules**, before a single arbitrator, with seat in **Pima County, Arizona**, conducted in **English**.

(c) Class Action Waiver. ALL DISPUTES SHALL BE ARBITRATED INDIVIDUALLY. THE PARTIES EXPRESSLY WAIVE ANY RIGHT TO PARTICIPATE AS A REPRESENTATIVE OR MEMBER OF ANY CLASS, COLLECTIVE, CONSOLIDATED, OR MASS ACTION.

(d) Jury Trial Waiver. If any dispute proceeds in court rather than arbitration, EACH PARTY WAIVES TRIAL BY JURY. Exclusive venue is the state or federal courts in Pima County, Arizona.

(e) Equitable Relief. Notwithstanding the foregoing, either party may seek injunctive or equitable relief in court to prevent or restrain a breach of intellectual-property rights, confidentiality, or Trade Laws / Anti-Corruption Laws.

(f) Fees. Each party bears its own attorney fees, except the arbitrator may award fees and costs to PACE in collection or breach-of-Section-11/12/13/15 actions.

22 GOVERNING LAW

SUMMARY *Arizona law. UN Convention on Contracts for the International Sale of Goods does not apply.*

This Agreement is governed by Arizona law (without regard to conflicts of law). The United Nations Convention on Contracts for the International Sale of Goods does not apply.

23 GENERAL PROVISIONS

SUMMARY *Standard wrap-up clauses: entire agreement, amendments, assignment, notices, force majeure, independence, severability, language.*

(a) Entire Agreement. This Agreement and any signed amendments constitute the entire agreement and supersede all prior or contemporaneous agreements on its subject matter.

(b) Amendments. No amendment is effective unless in writing and signed by both parties.

(c) Waiver. A waiver of any breach is not a waiver of any subsequent breach.

(d) Assignment. Reseller may not assign this Agreement without PACE's prior written consent; any attempted assignment is void. PACE may assign in connection with a merger, acquisition, reorganization, or sale of substantially all assets.

(e) Notices. Notices to PACE: 3601 E. 34th Street, Tucson, Arizona 85713, USA, Attn: General Counsel, with copy to pace@metallographic.com. Notices to Reseller: the address on the cover page or as otherwise notified.

(f) Force Majeure. Neither party is liable for delays caused by circumstances beyond reasonable control (acts of God, war, pandemic, government action, etc.). Either party may terminate the affected portion if the event continues more than ninety (90) days.

(g) Relationship. Reseller is an independent contractor. Nothing creates an agency, partnership, joint venture, or franchise.

(h) No Third-Party Beneficiaries. No third parties have rights under this Agreement.

(i) Severability. An invalid provision shall be modified to the minimum extent needed to be enforceable; remaining provisions stay in force.

(j) Language. Executed in English. Any translation is for convenience only; the English version controls.

(k) Counterparts. May be executed in counterparts (including by electronic signature).